TEACHER GUIDE

Cambridge International AS & A Level
Business (9609)

# Stakeholders and ethics



1 Business and its environment (AS Level)
**1.5 Stakeholders in a business; 1.4.2 Objectives and business decisions (ethics)**

A revision lesson. Pupils run a car dealership in firms of four and revise stakeholders and ethics on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Which view of firm

Round 1

The board cuts staff training to pay a higher dividend this year.

**Which view of the firm does this follow?**

- **A** Paternalistic management
- **B** The shareholder view
- **C** Corporate social responsibility
- **D** The stakeholder view

**ANSWER**

✓ **The shareholder view**

**Why:** Putting the owners' return above other groups is the shareholder view.

## 2 Benefits of CSR

Round 1

Your firm pays for road-safety lessons in local schools, though no law asks it to.

**Which two benefits are most likely?**

- **A** Fewer laws to follow
- **B** A better local reputation
- **C** Lower costs this year
- **D** Higher profit this year
- **E** Easier to recruit staff

**ANSWER**

✓ **A better local reputation**
✓ **Easier to recruit staff**

**Why:** CSR costs money now, but wins goodwill with buyers and job seekers.

## 3 Dividend share

Round 2

Three firms: profit for the year, and the dividends paid.

**Order by share of profit paid out, lowest first?**

- **A** Profit £150,000, dividends £15,000
- **B** Profit £80,000, dividends £40,000
- **C** Profit £200,000, dividends £50,000

**ANSWER**

1. **Profit £150,000, dividends £15,000**
2. **Profit £200,000, dividends £50,000**
3. **Profit £80,000, dividends £40,000**

**Why:** 10%, 25%, 50%: the rest is kept to invest in the firm.

# Topic tasks

## 4 CSR and profit

Round 2

Road-safety lessons in local schools.

**Effect on profit? Minus allowed.**

| | |
|---|---|
| Cost of the lessons, a year | **£9,000** |
| Extra sales from goodwill | **6 cars** |
| Contribution per car | **£1,900** |

**ANSWER**

**£2,400**

6 × £1,900 − £9,000 = £2,400

**Why:** CSR costs money now; goodwill must bring sales to pay for it.

## 5 Does green pay?

Round 3

A green valeting firm costs £4,500 more a year and wins 4 extra sales, £900 contribution each.

**Which choice raises profit on these figures, and why?**

**A** Switch to the green firm

**B** Keep the current firm

**ANSWER**

✔ **Keep the current firm**

**Why:** 4 × £900 = £3,600, under the £4,500 extra cost: on these figures it loses £900 a year.

## 6 Treat the residents

Round 3

Residents who care about traffic from your new showroom win the council's support.

**How should you now treat the residents?**

**A** Consult them closely

**B** Wait for the council to decide

**C** Ignore them: they have no say

**D** Send them a newsletter

**ANSWER**

✔ **Consult them closely**

**Why:** Their interest was high; with the council behind them their power is too.

# Final questions

Each pupil answers 6 final questions on stakeholders and ethics. They come from these 11 questions.

Then each pupil writes one short answer: “Evaluate whether CSR raises your firm’s long-run profit.”

1 A legal finance promotion is likely to be misunderstood by vulnerable customers. Which response best supports responsible long-term performance?
✔ **Test understanding, show total cost and risks, fix bad incentives**

2 A dealer learns that a contractor manipulated mileage records. Which board response best protects long-term value?
✔ **Stop affected sales and investigate independently**

3 Customer finance documents are exposed online. Which action is least defensible?
✔ **Suppress evidence so the firm can delay informing affected people**

4 A brake fault means a dealer must recall every car of one model it sold. Apart from owners, which stakeholder is most affected?
✔ **Workshop staff: weeks of unplanned recall work displacing jobs**

5 A dealer group says it takes a stakeholder approach rather than a shareholder approach. Which statement says what that distinction means?
✔ **Stakeholder: weigh every affected group; shareholder: owners’ return first**

6 A dealer group plans to close a loss-making rural branch. Which two stakeholders are most likely to conflict over it?
✔ **Shareholders and local employees**

7 A dealer could pay a bigger dividend or fit solar panels that only pay back in nine years. Which argument supports the panels?
✔ **Lower long-run costs and a better reputation**

8 Which of these is an external stakeholder of a dealership?
✔ **The local community near the site**

9 A dealer group plans to move a town-centre showroom to a cheaper out-of-town site. Which stakeholder conflict is most likely?
✔ **Shareholders gain from lower costs; local staff may lose jobs**

10 A dealer pays for free electric-vehicle charging points for its town, although this cuts short-term profit. What does this decision best show?
✔ **Corporate social responsibility**

# Final questions

**11** A dealer group’s board weighs the interests of staff, customers and the local community, not only its owners, when it decides. Which approach is this?

✔ **A stakeholder approach**